

SENATE BILL 2398

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 39,
Chapter 17, Part 9 and Title 47, Chapter 18,
relative to consumer protection.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-3501. Part definitions.

As used in this part:

(1) "Content moderation system" means the policies, procedures, and technological systems a covered platform uses to identify, review, and take action on user-reported content;

(2) "Covered platform" means a commercial online platform, website, or application that:

(A) Has ten million (10,000,000) or more monthly active users in the United States;

(B) Explicitly permits, in its published terms of service or content policies, the posting or distribution of material harmful to minors, as described in § 39-17-911; and

(C) Does not restrict all users' ability to access such material through effective age verification methods;

(3) "Effective age verification" means a commercially reasonable method that:

(A) Requires users to provide government-issued identification;

(B) Uses facial age estimation technology with documented accuracy rates; or

(C) Employs other verification systems that provide reasonable assurance that a user is eighteen (18) years of age or older;

(4) "Material harmful to minors" has the same meaning as described in § 39-17-911; and

(5) "Pattern of systematic failure" means at least three (3) documented instances within a twelve-month period where a covered platform failed to respond to properly submitted reports of unmarked material harmful to minors within the timeframes established in this part.

47-18-3502. Platform obligations - Content reporting and response obligations.

(a) Each covered platform shall:

(1) Maintain a content moderation system that allows users to report material harmful to minors that is not properly marked or age-restricted;

(2) Provide a clear and conspicuous reporting mechanism accessible from any page where user-generated content is displayed;

(3) Acknowledge receipt of reports within forty-eight (48) hours;

(4) Review reported content and take appropriate action within seven (7) business days of receiving a report, including:

(A) Removing the content;

(B) Restricting access through age verification;

(C) Properly marking the content; or

(D) Providing a substantive explanation for why no action was warranted; and

(5) Maintain records of all reports received and actions taken for a period of three (3) years from the date of receipt of such reports or such actions.

(b) The reporting mechanism required under subsection (a) must:

- (1) Allow anonymous reporting;
- (2) Provide a unique tracking identifier for each report;
- (3) Allow users to check the status of their reports; and
- (4) Not require users to create an account to submit a report.

47-18-3503. Transparency requirements - Semi-annual transparency reports.

(a) Each covered platform shall publish a transparency report every six (6) months that includes:

- (1) The total number of reports received under this part;
- (2) The number and percentage of reports resulting in content removal;
- (3) The number and percentage of reports resulting in age restriction;
- (4) The average response time for addressing reports; and
- (5) The number of accounts or users subject to enforcement action for repeatedly posting unmarked material harmful to minors.

(b) Reports required under subsection (a) must be published on the covered platform's website in a location easily accessible to the public.

(c) Covered platforms shall provide copies of transparency reports to the attorney general and reporter within thirty (30) days of publication.

47-18-3504. Enforcement - Private right of action.

(a) A parent or legal guardian of a minor who accesses material harmful to minors on a covered platform may bring a civil action against that covered platform if:

- (1) The material was not properly age-restricted or marked;

(2) The parent or legal guardian, or any other person, had previously reported substantially similar unmarked material from the same user or account to the covered platform;

(3) The covered platform failed to take appropriate action on the prior report within the timeframe required by this part; and

(4) The covered platform's failure to act constitutes a pattern of systematic failure.

(b) In an action brought under subsection (a), a court may award:

(1) Actual damages;

(2) Statutory damages of five thousand dollars (\$5,000) per violation, not to exceed two hundred fifty thousand dollars (\$250,000) per action;

(3) Reasonable court costs and attorney fees; and

(4) Injunctive relief.

(c) An action under this section must be brought within two (2) years of the date the minor accessed the material.

(d) Venue for an action under this section is in the county where the plaintiff resides or in Davidson County.

47-18-3505. Attorney general and reporter enforcement authority.

(a) The attorney general and reporter may investigate potential violations of this part and may issue civil investigative demands to covered platforms to determine compliance.

(b) If the attorney general and reporter has reason to believe a covered platform has engaged in a pattern of systematic failure to comply with this part, the attorney general and reporter may:

(1) Seek injunctive relief requiring compliance with this part;

(2) Seek civil penalties of up to ten thousand dollars (\$10,000) per day for each day of continued noncompliance after a court order requiring compliance; and

(3) Recover reasonable court costs and attorney fees.

(c) Before bringing an action under subsection (b), the attorney general and reporter shall provide written notice to the covered platform describing the alleged violations and providing sixty (60) days to cure.

(d) Actions by the attorney general and reporter under this section do not limit or preclude private rights of action under § 47-18-3504.

47-18-3506. Exemptions.

This part does not apply to:

- (1) Internet service providers;
- (2) Search engines;
- (3) Cloud storage providers;
- (4) Email services;
- (5) Direct messaging services that do not include public posting

functionality;

- (6) News organizations;
- (7) Platforms operated by or on behalf of educational institutions; or
- (8) Government websites.

47-18-3507. Limitations on liability.

(a) A covered platform that implements and maintains systems and procedures reasonably designed to comply with this part is not liable under this part for:

- (1) Individual instances of user-posted material harmful to minors that are addressed within the timeframes required by this part; or

(2) Content moderation decisions made in good faith, even if different moderation decisions might have been reasonable.

(b) This part does not:

(1) Require covered platforms to proactively monitor or screen all user-generated content;

(2) Create liability for hosting user-generated content that complies with the platform's marking and age-restriction policies;

(3) Limit covered platforms' first amendment rights to establish their own content policies; or

(4) Override protections provided by 47 U.S.C. § 230, except as specifically provided in this part.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. This act takes effect January 1, 2027, the public welfare requiring it.